Practical – Using Business Model Canvas

For this practical class, you will explore and apply the Business Model Canvas to examine and design the business model inherent in your idea/brand/concept. In this practical, as a group, you need to understand the canvas and then work through it, completing the different sections of it.

Business Model Canvas

The Business Model Canvas is the tool described in the book 'Business Model Generation'. Dave Chaffey summarises this canvas in his Smart Insights resource online[1]. Alex Osterwalder invented the Canvas[2].

The canvas enables you to describe the business idea in your chosen web site from these perspectives:

- Value proposition. This is at the heart of what the business offers to its audiences and is arguably most to important success.
- Customer segments. Different target audiences the value propositions will appeal to. In the business model canvas the alternatives recommended are mass market, niche market, segmented (broken down further) or a range of diverse segments.
- Customer relationships. The types of relationships that will be formed, for example self-service, automated services, communities or more personal assistance. Co-creation of content may be part of this.
- Channels. The methods by which the organisation's services will be delivered and the audiences reached.
- Activities. Which are the main activities that need to be performed to deliver the value proposition to develop revenue?
- Revenue stream. This is the method by which a business derives income. Common online options are: ad revenue, subscription fees, sales of physical or virtual goods or affiliate based commission arrangements. Licensing and leasing are other alternatives.
- Key partners. To exploit online and offline value networks, forming partnerships gives an opportunity of expanding reach and taking advantage of existing organisations and online influencers that have built an audience.
- Resources. Different types of process and people to complete the activities to create and deliver the value proposition.
- Cost structure. Different cost-elements, these should be checked against activities and resources. Costs are classically broken down into Fixed and Variable costs and economies of scale.

For your coursework, the following perspectives are to be undertaken by an individual in each group (assuming a team of 6):

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[1] http://www.smartinsights.com/digital-marketing-strategy/online-business-revenue-models/summarising-business-models-use-the-business-model-canvas-diagram/

[2] http://alexosterwalder.com

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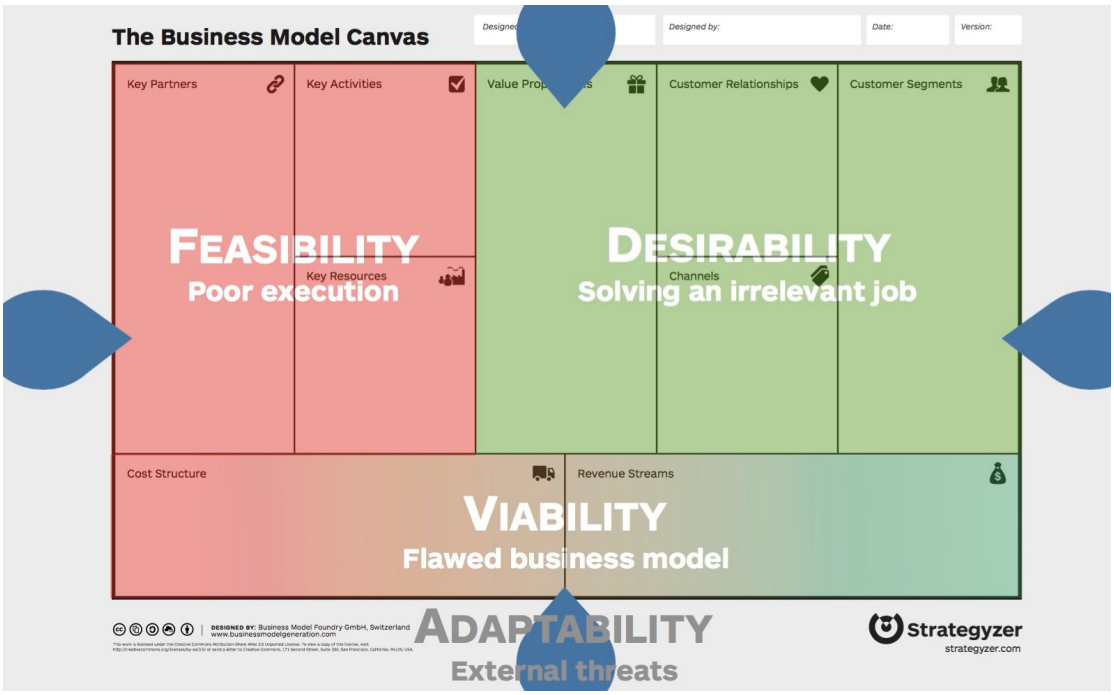
while the group collectively must undertake these three remaining perspectives of the business model canvas (or also any aspect of the Business Model Canvas not completed by an individual including any team member not engaging):

- Key partners. To exploit online and offline value networks, forming partnerships gives an opportunity of expanding reach and taking advantage of existing organisations and online influencers that have built an audience.
- Resources. Different types of process and people to complete the activities to create and deliver the value proposition.
- Cost structure. Different cost-elements, these should be checked against activities and resources. Costs are classically broken down into Fixed and Variable costs and economies of scale.

Desirability, feasibility, and viability

When you sketch out a business model with the Business Model Canvas you actually make assumptions about desirability, feasibility, and viability.



Feasibility is about the assumptions that you chose the right infrastructure to execute your business model well (risk: poor execution). Desirability is about the assumptions that will actually create customer value (risk: solving an irrelevant customer job). Viability is about the financial assumptions that will earn you more money than you spend (risk: flawed business model). Adaptability is about the assumptions that you chose the right business model within the context of external factors, like competition, technology change, or regulation (risk: external threats).

Your group task in this practical

The diagram below shows the different areas described above, along with helpful prompts to get you thinking along the right lines for each canvas area. Using a template[3], as a group, write several bullet points of text as appropriate, for each of the areas. See Figure 1 for some ideas to prompt your thinking.

[3] https://miro.com/templates/business-model-canvas/

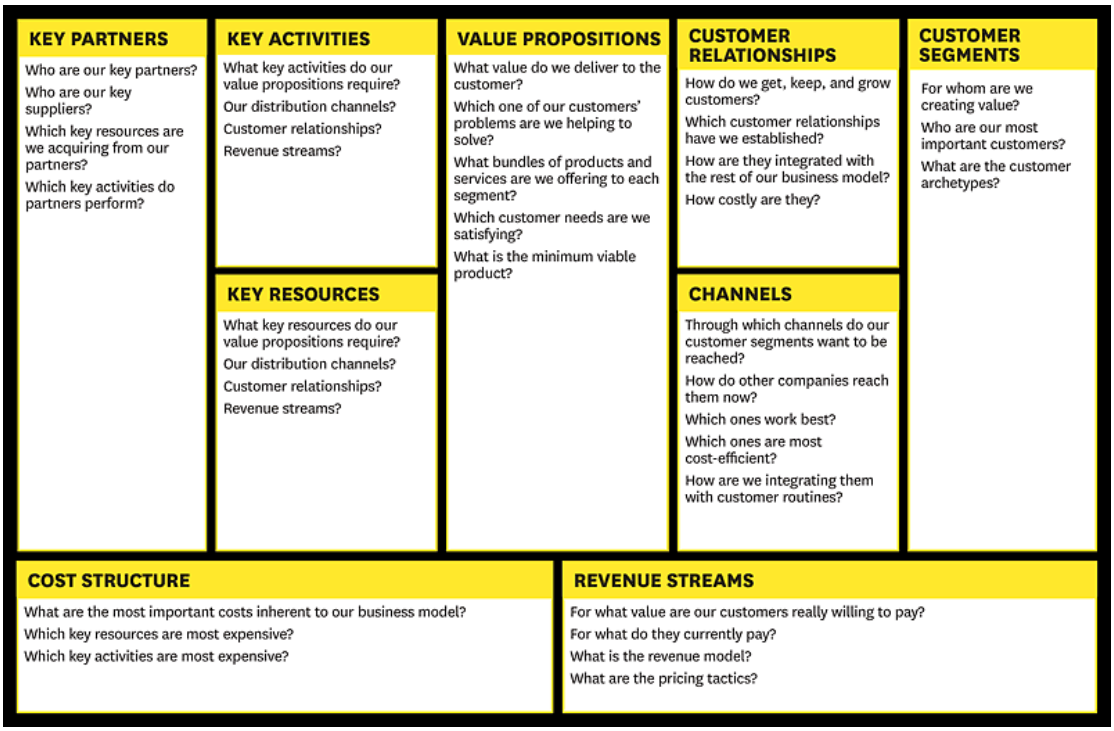


Figure 1 - The Business Model Canvas

Using the Canvas

For your coursework group concept, you need to work your way through the different areas of the canvas and build up your understanding of the business model from these different components. Here's a possible path[4]:

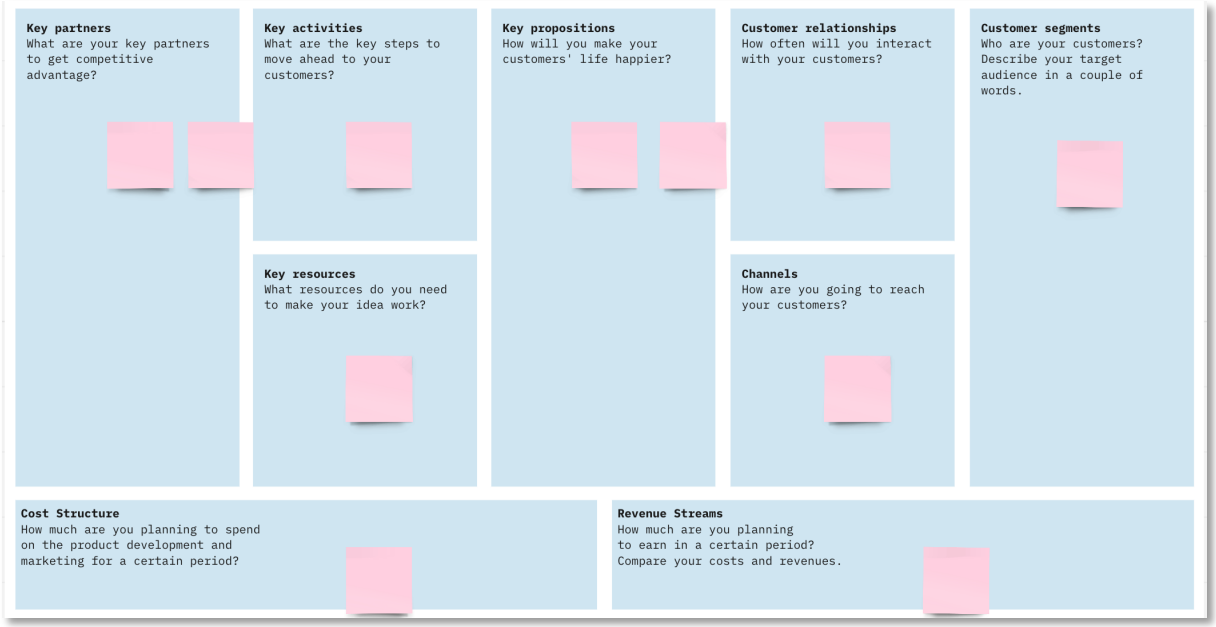
- ☐ Key activities
  - What key activities would your value proposition require?
  - What activities would be most important in distribution channels, customer relationships, and revenue stream…?
- ☐ Value Proposition
  - What core value would you deliver to the customer?
  - Which customer needs would you satisfy?
- ☐ Customer Relationship
  - What is relationship that the target customer would expect you to establish?
  - How could you integrate that into your business in terms of cost and format?
- ☐ Customer Segment
  - Which classes would you be creating values for?
  - Who would be your most important customer?
- ☐ Distribution Channel
  - Through which channels would your customers want to be reached?
  - Which channels would work best? How much would they cost? How could they be integrated into your and your customers' routines?
- ☐ Revenue Stream
  - For what value would your customers be willing to pay?
  - What and how would they recently pay? How would they prefer to pay?

[4] Source: https://canvanizer.com/how-to-use/business-model-canvas-tutorial

    - How much would every revenue stream contribute to the overall revenues?
- ☐ Key partners
    - Who would be your key partners/suppliers?
    - What would be the motivations for the partnerships?
- ☐ Key Resource
    - What key resources would your value proposition require?
    - What resources would be important the most in distribution channels, customer relationships, and revenue stream…?
- ☐ Cost Structure
    - What would be the biggest costs in your business?
    - Which key resources/ activities would be most expensive?

Templates

Use the Miro template[5] to start to complete your canvas for your group coursework.



For hints, use the YouTube video[6] to understand in what order to complete the canvas. There is a sample completed in a three-minute video for Nestlé online[7].

Resources

- ☐ Canvanizer tutorial and template for Business Model Canvas, https://canvanizer.com/how-to-use/business-model-canvas-tutorial
- ☐ Nestlé example video, http://blogs.hbr.org/2013/05/a-better-way-to-think-about-yo/
- ☐ Business Model Canvas Explained, https://www.youtube.com/watch?v=QoAOzMTLP5s
- ☐ Dave Chaffey posting on Smart Insights on Canvas, http://www.smartinsights.com/digital-marketing-strategy/online-business-revenue-models/summarising-business-models-use-the-business-model-canvas-diagram/

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[5] https://miro.com/templates/business-model-canvas/
[6] http://www.youtube.com/watch?v=QoAOzMTLP5s
[7] http://blogs.hbr.org/2013/05/a-better-way-to-think-about-yo/

- Alex Osterwalder, Creator of the Business Model Canvas, http://alexosterwalder.com
- Business Model Canvas template, fppt.com and https://www.free-power-point-templates.com/articles/best-editable-business-canvas-templates-for-powerpoint/ [No. 5]